

DIGI-FIN LITERACY AFRICA

Digital Fraud Survival Guide

How scammers think. How to spot them. What to do if they succeed. Your complete defence kit.

FREE DOWNLOAD | 12 pages

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Part 1 — How Scammers Actually Think

Digital scams are not primarily about technology. They are about psychology. The most successful fraudsters are skilled manipulators who understand exactly how the human brain makes decisions under pressure, fear, and excitement. Understanding their playbook is your first and most powerful defence.

6 Cognitive Biases Scammers Exploit

Authority Bias

We are wired to trust authority figures. Scammers pose as Safaricom agents, bank managers, or KRA officials. They use official-sounding language, fake badge numbers, and spoofed phone numbers that appear as legitimate company lines on your screen.

Scarcity & Urgency

'This offer expires in 10 minutes.' 'Act now or lose your account.' Urgency shuts down rational thinking. When the brain senses imminent loss, the logic centre partially disengages. You act first and think later — exactly what the scammer needs.

Social Proof

'Thousands of Kenyans are already earning daily with this.' Fake testimonials, fabricated M-Pesa screenshots, and invented peer success stories exploit our tendency to look to others for cues about safe behaviour.

Reciprocity

When someone does something for you — even something small — you feel obligated to return the favour. Scammers send small amounts of money to 'prove' a platform works, give free gifts, or provide helpful information before making their ask.

FOMO (Fear of Missing Out)

'This is a once-in-a-lifetime opportunity.' Social media has made FOMO chronic. Investment scams are especially skilled at leveraging FOMO — making victims feel that hesitation means being left behind while everyone else gets rich.

Deepfakes & AI

The newest frontier: AI can now create convincing fake video calls, mimic a family member's voice, or fabricate bank statement screenshots. If you receive an urgent video call asking for money, verify through a completely separate channel before acting.

Critical Insight

Falling for a scam is NOT a sign of stupidity. Victims include educated professionals, financial experts, and people with high emotional intelligence. Scammers are professionals who have refined their techniques over years. If you have been scammed: the fraudster is the criminal. You are the victim. Full stop.

Part 2 — Mobile Money & Banking Fraud

SIM Swap Takeover

The fraudster collects your personal information — from social media, data breaches, or social engineering — then contacts your mobile operator pretending to be you, reporting a 'lost SIM' and requesting a replacement. Once they have your number, every OTP and verification code goes to them. They reset your banking password and drain your accounts before you notice.

- Never share your National ID details on social media or with unknown callers
- Set up a SIM lock PIN with your mobile operator
- Enable email notifications on your bank account — SIM swaps cannot intercept email
- If your phone loses signal unexpectedly, call your bank and Safaricom immediately

Fake Prize & Promotion Scams

You receive an SMS: 'Congratulations! You have won KSh 50,000 in the Safaricom Anniversary Prize. Call 0700XXXXXX to claim.' You call. They say there is a 'processing fee' of KSh 2,000. You pay. Nothing arrives. The fraudster pockets your money and moves to the next victim.

- You entered no competition — legitimate prizes don't work this way
- Real Safaricom promotions never charge upfront fees
- Verify any 'prize' by calling 100 (the official Safaricom line) directly
- The number you were given is not Safaricom's official number

Fraudulent Reversal Scam

A stranger sends you KSh 5,000 'by mistake' via M-Pesa and calls asking you to send it back. You reverse it. Then the original payment is reversed by the bank (it was made with a hacked account), leaving you KSh 5,000 out of pocket.

- NEVER reverse a 'mistaken' payment directly to the caller
- Contact Safaricom (100) and let them handle it officially through proper channels
- The sender may be a victim too — direct reversal bypasses the fraud investigation

OTP Interception / Account Takeover

The fraudster knows your phone number and triggers a password reset on your banking app. They then call pretending to be from your bank's security team, saying there is 'unusual activity.' In the panic, you read them the OTP. Within minutes, you are locked out and your account is empty.

- YOUR BANK WILL NEVER ASK FOR YOUR OTP — EVER
- Hang up immediately on anyone asking for an OTP, PIN, or password
- Call your bank back using the number on the back of your card or their official website
- If you gave an OTP: call your bank fraud line immediately — time is critical

Warning

Your Bank Will NEVER Ask for Your OTP, PIN, or Full Password. Not by phone, not by SMS, not by email. If anyone asks for these — hang up and call back on the official number. This one habit prevents the majority of account takeover fraud.

Part 3 — Spot the Red Flags: The ALARM Framework

The best defence against fraud is recognising it before it happens. The ALARM framework gives you six red flags that should always make you stop and verify before acting.

A

Asks for Sensitive Info

Anyone asking for your OTP, PIN, password, or full ID number. Stop — no legitimate service will ever ask this.

L

Lures with Guaranteed Returns

Investments promising guaranteed profits or unrealistic returns (20%+ per month). Stop — real markets don't work this way.

A

Acts with Urgency

'You must decide NOW.' 'This expires in 10 minutes.' Artificial urgency is the scammer's most powerful tool. Stop and slow down.

R

Requests Upfront Fees

You must pay something to receive something. Processing fees, release fees, taxes. Stop — legitimate prizes and investments don't work like this.

M

Mystery Contact

Unknown number, unverifiable profile, anonymous account, unsolicited message. Stop — verify before engaging.

+

Too Good to Be True

Cannot explain why you specifically were selected? You weren't. Stop.

The Gut-Check Question

Before acting on any financial message or opportunity, ask yourself: 'Would I be comfortable if my most financially savvy friend could see exactly what I am about to do?' If the answer is no — don't do it.

Part 4 — Investment Scams & Ponzi Schemes

Investment scams are the most financially devastating because they target people who are genuinely trying to build wealth. Understanding exactly how they work is your protection.

How a Ponzi Scheme Works

A Ponzi scheme promises high returns to investors. Early investors receive their promised returns — but these are paid using money from newer investors, not from actual investment activity. The scheme requires a constant flow of new participants. When new money dries up or the organiser disappears, the majority of investors lose everything.

REAL STORY — THE WHATSAPP 'INVESTMENT GROUP'

A WhatsApp investment group in Nairobi promised returns of 30% per month on contributions of KSh 5,000–50,000. Early members received their returns and recruited friends. Within 8 months, over 200 families had invested. The organisers disappeared overnight with over KSh 15 million. Police investigations found zero actual investment activity.

Key insight: If someone promises 30% monthly returns, they are either lying or running a Ponzi scheme. Real markets do not work that way.

Investment Red Flag Checklist

■ Promises guaranteed returns with no risk	■ The platform is not registered with the Capital Markets Authority (CMA) or CBK
■ Returns are extraordinarily high (20-50%+ per month or week)	■ No clear terms for withdrawal or redeeming your investment
■ The investment strategy is vague, secret, or 'proprietary'	■ Pressure to invest quickly before the 'opportunity closes'
■ You are encouraged to recruit others in exchange for bonuses	■ Testimonials are anonymous, staged, or consist only of screenshots

How to Vet Any Investment Platform

1. Check Registration

Is it licensed by the Capital Markets Authority (CMA) or CBK? Visit cma.or.ke or centralbank.go.ke to verify. If it's not listed, stop.

2. Search the Warning List

The CMA regularly publishes known fraudulent platforms. Search your platform's name at cma.or.ke before investing.

3. Search Independently

Type the platform name + 'fraud' or 'scam' into Google. Read what you find — not just what the platform says about itself.

4. Talk to Someone You Trust

A financially literate friend, family member, or certified advisor. If they have concerns, take those seriously.

5. Start Small

If everything checks out and you still wish to invest, start with an amount you can afford to lose entirely. No exceptions.

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Part 5 — If It Happens: Post-Scam Recovery Blueprint

Being defrauded is one of the most distressing experiences a person can have. The shock, shame, and self-blame can feel overwhelming. Here are the clear steps that give you the best chance of limiting damage and recovering. Act fast — time is critical in fraud cases.

PHASE 1 — First 30 Minutes

- Breathe — panic leads to further mistakes and worse decisions
- Do NOT send any more money, even if they threaten consequences
- Call Safaricom on 100 (free) to report and request a transaction reversal attempt
- Contact your bank's fraud line to freeze any compromised accounts
- Change all passwords for affected accounts — from a DIFFERENT device
- Enable 2FA on any accounts where it is not yet active
- Screenshot ALL messages, call logs, payment confirmations, and contact details

PHASE 2 — Within 24-48 Hours (Report Everywhere)

- File a police report at your nearest station — get the OB (Occurrence Book) number
- Report to Safaricom in writing: fraud@safaricom.co.ke or via the Safaricom app
- Report to your bank's fraud department in writing (email creates a paper trail)
- Report to Communications Authority: complaints@ca.go.ke
- If investment fraud: Capital Markets Authority — cmainfo@cma.or.ke
- DCI Cybercrime Unit: cybercrime@dcu.go.ke

PHASE 3 — Financial Recovery

- File for a chargeback with your bank if payment was made via debit card
- Formally request Safaricom's fraud team to attempt a reversal (timing matters)
- If your bank fails to cooperate: escalate to CBK — cbk@centralbank.go.ke
- Keep copies of all correspondence — fraud recovery can take weeks

PHASE 4 — Emotional Healing

- Shame is the most common response — and the most damaging. Resist it.
- Speak to someone you trust. Do not carry this alone.
- The fraudster committed a crime against you. This is not a reflection of your intelligence.
- If the emotional impact is significant, consider speaking with a counsellor or therapist.
- Reporting fraud helps prevent others from becoming victims — your experience has value.

You Are Not Alone

Fraud happens to educated, intelligent, financially aware people every single day. The fraudster is the criminal. Reporting fraud helps prevent others from becoming victims. Your experience, once processed, can become a powerful tool to protect your community.

Part 6 — Your Digital Safety Vault

Your Digital Safety Vault is your complete personal security system. Build it now — before you need it. Tick off each item and set a deadline for anything not yet complete.

■ All financial passwords are unique and strong (12+ characters, letters + numbers + symbols)

■ I review my M-Pesa and bank statements at least once per month

■ 2FA is enabled on email, M-Pesa, and all banking apps

■ I only download apps from the official Google Play Store or Apple App Store

■ SIM lock PIN is active on my phone

■ I check app permissions monthly and revoke unnecessary access

■ Phone has screen lock (PIN, fingerprint, or face recognition)

■ I avoid using public Wi-Fi for financial transactions

■ Safaricom fraud line (100) is saved in my phone contacts

■ I have a backup of important documents stored securely (not just on my phone)

■ My bank's official fraud number is saved in my contacts

■ I know the CMA and CBK complaint channels for investment fraud

■ I have not shared my OTP, PIN, or passwords with anyone in the past 90 days

■ I have a clear plan for what to do in the first 30 minutes if defrauded

Your 4 Non-Negotiable Actions

1. Share the ALARM Framework (Part 3) with one family member or friend this week. Walk them through a real example.
2. Bookmark cma.or.ke/investor-education — consult it before any new investment opportunity.
3. Add these numbers to your contacts RIGHT NOW: Safaricom Fraud: 100 | DCI Cybercrime: 0800 722 203 | CBK: +254 20 286 0000
4. Set a monthly calendar reminder: 'Review M-Pesa + bank statement + app permissions.'

Share This Guide

Every person in your network who reads this guide is one less potential victim. Share it with your chama, WhatsApp family group, or study group this week. Financial safety is a community effort.